

Secondly, for your own peace as well. Getting a too high valuation will put a lot of undue pressure over the regular pressure that building a business includes.

Thirdly, when you raise money your agreements includes a clause where you can not raise money at a valuation that is lower than previous rounds. So, if you raise too high, raising subsequent rounds can become an issue and your business suffers.

FAVOURS

GUIDANCE

INSIGHTS

REVIEWS

You should seek a collaborative environment with your investors where you can approach them, ask them questions, get feedback, advice, reviews, and insights, and ask them for favors, help, and guidance.

ADVICE

This kind of relationship adds significantly higher value than a few percentage points. However, this also does not mean that you undersell your company at very low valuations. We wish there was a black-and-white number or metric for valuation, but that's not how this works.

FEEDBACK

Also, every business has different factors that are to be reflected in n. You need to account for strengths and weaknesses and use that to reach a valuation.

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QUESTIONS

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